

Indian IT Sector Outlook FY2026

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EXECUTIVE SUMMARY

Indian IT sector faces near-term headwinds from BFSI spending slowdown and discretionary IT cuts, but GenAI deal momentum provides medium-term catalyst. We expect revenue growth acceleration to 8-10% in FY26 from 4-6% in FY25.

DEMAND ENVIRONMENT

GenAI Tailwinds

- GenAI deal TCV reached \$4.2B in FY25, up 180% YoY
- Implementation projects moving from PoC to production deployment
- Accenture partnership model being replicated by Indian IT majors
- TCS GenAI platform (TCS WisdomNext) gaining enterprise traction

BFSI Vertical

- US banking IT budgets under pressure due to deposit margin compression
- European BFSI cautious on discretionary spending
- India BFSI strong with digital banking transformation initiatives
- Expected recovery in US BFSI spending by Q3 FY26

Geographic Performance

- North America: Cautious, 3-4% growth expected
- Europe: Headwinds from macro, 2-3% growth
- India domestic: Strong, 18-20% growth
- Rest of World: Middle East strong on Vision 2030 spending

COMPANY ANALYSIS

1. TCS - OVERWEIGHT, Target Rs 4,200
 - Market share gains in GenAI, strong deal pipeline
 - Revenue growth 7-9% FY26, margin stable at 24-25%
2. Infosys - OVERWEIGHT, Target Rs 1,850
 - Cobalt cloud platform differentiator, guidance upgrade likely
 - Revenue growth 8-10% FY26, operating margin 21-22%
3. HCL Technologies - OVERWEIGHT, Target Rs 1,950

- Products business (HCL Software) underappreciated
- Revenue growth 6-8% FY26, best margin profile

4. Wipro - EQUAL WEIGHT, Target Rs 580

- CEO transition stabilizing, still in recovery mode
- Revenue growth 4-6% FY26, margin improvement ongoing

RISKS

- USD/INR appreciation hurts revenue in rupee terms
- Visa restrictions could increase onsite delivery costs
- Client budget freezes if US enters recession

CONCLUSION

Accumulate IT on dips. TCS and Infosys are quality compounders for long-term portfolios.

Near-term volatility provides entry opportunity. Target 12-month returns of 15-20%.